extremely vulnerable to shocks such as illnesses and loss of income. This is why a strong correlation exists between informality and poverty in India.[32]

- From the point of view of firms, informal work arrangements bring benefits: lower price and greater flexibility in adjusting the quantity of labour in response to fluctuating demand. Yet, these benefits are partly offset by costs, such as low worker loyalty and inadequate incentive to invest in worker skill building. Moreover, any net benefits need to be weighed against the social costs to the workers and the economy as a whole.
- Finally, persistently high levels of informality come at a significant fiscal cost in terms of forgone fiscal revenue.[33] In 2004-05, the unorganised sector contributed roughly half of India's GDP[34] implying a significant expansion of the tax base if the informal sector were to join the formal economy. The high prevalence of informality also hampers the ability of economic policies to have direct and quick impact on the economy.

The Mauritian Miracle

While Mauritius was assuming self-rule from the British, two noted intellectuals (and to be **Nobel laureates**), James Meade (economics) and V.S. Naipaul (literature) prophesied a bleak future for this small island. In the 1960s, Mauritius was heavily dependent on one crop – *sugar* – was prone to 'terms-of-trade' shocks, and was undergoing rapid increase in population. What followed though was counter to their predictions. Between 1977 and 2006, real GDP grew by an average of 5.2 per cent per annum. Per capita GDP growth averaged 4.2 per cent versus 0.7 per cent for the rest of Africa. From 1970 to 2008, life expectancy increased from 62 to 73 and infant mortality dropped from 64 per 1000 births to 15.

What explains this performance? A leading factor in the first two decades of turn around is the creation and efficient management of the EPZs (Export Processing Zones). Some major characteristics of the 'Mauritius EPZ' were: